

B.COM DEGREE(CBCS) PRIVATE (REGULAR/ REAPPEARANCE/ MERCY CHANCE)
 EXAMINATION, MARCH 2026
 GENERAL ESSAY-COMMERCE
 COURSE CODE- CO6GST01
 GENERAL ESSAY QUESTION PAPER
 Each set of questions carries 80 marks (4*20)
 Answers are to be written only from any one set

Set-I

1. Contract account for the year ended 31/12/2019

Particulars	amount	Particulars	amount
To materials	240000	By Material	20000
To wages	328800	By work certified	600000
To business charges	17200	By plant	36000
To plant	40000		
To notional profit	30000		
		By notional Profit	30000
To profit & loss a/c	8000		
To work in progress	32000		
(amount kept as reserve)			
	656000		656000

Working Note :

Amount transferred to Profit & Loss account:

Notional Profit X 1/3 X cash received/contract price

$30000 \times \frac{1}{3} \times \frac{480000}{600000} = \text{RS.8000}$

2. .Process I

Particulars	Unit	Amount	Particulars	Unit	Amount
To input	20000	600000	By normal waste	2000	20000
To material		20000	By output transferred to	18000	720000
To labour		80000	Process I @Rs.40		
To overhead		40000			
		740000			740000

Process -II

Particulars	Unit	Amount	Particulars	Unit	Amount
To input transferred from Process I	18000	720000	By normal waste	1800	9000
			By output transferred	16400	885,600

To material		43800	to Process II @ rs.54		
To labour		60000			
To overhead		60000			
To abnormal gain	200	10800			
		894600			894600

Value of abnormal gain=

total cost- scrap value÷normal (expected output) X units of abnormal gain

$$883800-9000 / 16200 \times 200 = 10800$$

Process -III

Particulars	Unit	Amount	Particulars	Unit	Amount
To input transferred from Process II	16400	885,600	By normal waste	820	16400
To material		81400	By abnormal loss	80	5600
To labour		100000			
To overhead		40000	By output transferred to Process II @ rs.54	15500	10,85,000
	16400	1107000		16400	1107000

Value of abnormal gain=

total cost- scrap value÷normal (expected output) X units of abnormal gain

$$1107000-16400 \div 15580 \times 80 = 5600$$

3. Compute Contribution per unit

Particulars	Product A	Product B
Material cost	20(10x2=20)	45 (3x15=45)
Labour	15(3x5=15)	10
Direct expenses	5	6
Variable overhead	15	20
Total cost	55	81
Sales	100	120
Contribution	45	39

- Total sales potential in units is limited
Product with higher contribution per unit; Product A is more profitable.
- Total sales potential in value is limited
P/V ratio= Contribution/ Sales x100
A= 45/100x 100= 45%; B= 39/ 120 x100= 32.5%. Product is more profitable.
- Raw material is in short supply
Calculate Contribution per kg of material
A= 45/2= 22.5 /kg; B= 39/3= 13/kg; Product A is more profitable.
- Production capacity in terms of machine hour is a limiting factor

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Calculate contribution per machine hour

A= 45/3 Rs.15/machine hour; B= 39/2 Rs.19.5per kg.Product B is more profitable.

4Cash Budget Statement

Particulars	July (Rs.)	August (Rs.)	September (Rs.)
Opening Balance	18,000	(17,817.5)	(8,072.5)
Cash Receipts	95,000	1,10,000	1,50,000
Total Cash Available	1,13,000	92,182.5	1,41,927.5
Payments:			
Purchases	80,000	78,000	1,10,000
Wages	8,637.5	8,975	8,475
Factory Overheads	1,280	780	2,300
Administration Expenses	6,500	8,150	7,100
Selling Expenses	4,400	4,350	4,800
Machinery Instalment	30,000	—	—
Total Payments	1,30,817.5	1,00,255	1,32,675
Closing Balance	(17,817.5)	(8,072.5)	9,252.5

Wages (Time lag = 1/8 month)

Formula:

$$\text{Payment} = \frac{1}{8} \text{Previous Month} + \frac{7}{8} \text{Current Month}$$

July:

$$\text{Wages Paid in July} = \frac{1}{8} (7500) + \frac{7}{8} (8800) = 8637.5$$

QP CODE: 26151456

August:

$$= \frac{1}{8}(8800) + \frac{7}{8}(9000) = 8975$$

September:

$$= \frac{1}{8}(9000) + \frac{7}{8}(8400) = 8475$$

3. Factory Overheads (4 weeks lag = 1 month)

Month	Payment
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July	June OH = 1,280
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August	July OH = 780
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September	August OH = 2,300
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4. Administration Expenses (6 weeks lag = 1/2 month)

July:

$$\frac{1}{2}(6200) + \frac{1}{2}(6800) = 6500$$

August:

$$\frac{1}{2}(6800) + \frac{1}{2}(9500) = 8150$$

September:

$$\frac{1}{2}(9500) + \frac{1}{2}(4700) = 7100$$

5. Selling Expenses (6 weeks lag = 1/2 month)

July:

$$\frac{1}{2}(4500) + \frac{1}{2}(4300) = 4400$$

August:

$$\frac{1}{2}(4300) + \frac{1}{2}(4400) = 4350$$

September:

$$\frac{1}{2}(4400) + \frac{1}{2}(5200) = 4800$$

Set – II

5. Advertisement Planning and Process of Advertising Planning

Advertisement planning is the systematic process of deciding the objectives, message, media, budget, and timing of advertisements in order to achieve marketing and sales goals effectively.

Process of Advertising Planning

1. Identification of Target Audience

The advertiser identifies the group of customers to whom the advertisement is directed.

2. Setting Advertising Objectives

Objectives may include increasing sales, creating awareness, introducing a new product, or improving brand image.

3. Determining Advertising Budget

The amount to be spent on advertising is decided based on sales, competition, and company policy.

4. Developing Advertising Message

An attractive and persuasive message is prepared to influence consumers.

5. Selection of Media

Suitable media such as newspapers, television, radio, internet, or social media are selected.

6. Scheduling the Advertisement

The timing and frequency of advertisements are decided.

7. Evaluation of Advertising Effectiveness

The success of the advertisement is measured through sales results, customer response, and feedback.

6. Copy testing refers to the method of evaluating the effectiveness of an advertisement before or after its release. It helps to determine whether the advertisement can attract attention, create interest, and influence customers.

Advantages of Copy Testing

1. Helps in measuring the effectiveness of advertisements.
2. Identifies weaknesses in advertising copy.
3. Reduces the risk of advertising failure.
4. Improves communication with customers.
5. Assists in selecting the best advertisement among alternatives.

Disadvantages of Copy Testing

1. It is costly and time consuming.
2. Results may not always be accurate.
3. Consumer reactions may change over time.
4. Difficult to measure emotional response correctly.
5. Small samples may not represent the entire market.

7. Pre-testing means testing an advertisement before it is released to the public. It helps in finding defects and improving the advertisement.

Examples of Pre-testing Methods

- Consumer jury test
- Interview method
- Sales area test
- Portfolio test

Post-testing means evaluating the effectiveness of an advertisement after it has been published or broadcast.

Examples of Post-testing Methods

- Recognition test
- Recall test
- Sales result test
- Inquiry test

Differences Between Pre-testing and Post-testing

Basis	Pre-testing	Post-testing
Meaning	Conducted before advertisement release	Conducted after advertisement release
Purpose	To improve advertisement quality	To measure advertisement effectiveness
Stage	Before campaign	After campaign
Risk	Helps avoid failure	Measures actual success or failure
Cost	Comparatively lower	Comparatively higher

8. Yes, it is true that depending upon nature, skill, and personality, some salesmen are more successful than others.

Reasons for Success of Salesmen

Good Communication Skill: Successful salesmen can explain product features clearly and convincingly.

Pleasant Personality: Friendly behaviour and confidence help in attracting customers.

Product Knowledge: A good salesman has complete knowledge about the product and market.

Patience and Confidence: Successful salesmen handle customer objections calmly.

Persuasive Ability: They can influence customers to purchase products.

Honesty and Reliability: Customers trust honest salesmen and prefer dealing with them repeatedly.

Hard Work and Initiative: Energetic and hardworking salesmen achieve better sales results.

SET-III

9. What is Performance Audit? Explain its Elements and Objectives.

Performance audit is an independent examination of government departments, public sector organizations, or institutions to evaluate whether resources are used economically, efficiently, and effectively. It focuses on improving performance rather than only checking financial accuracy.

Elements of Performance Audit

1. Economy – Ensures resources are acquired at minimum cost without affecting quality.
2. Efficiency – Measures whether resources are properly utilized to achieve maximum output.
3. Effectiveness – Examines whether the intended objectives and results are achieved.

Objectives of Performance Audit

- To evaluate the performance of organizations and departments.
 - To ensure proper utilization of public funds.
 - To identify wastage and inefficiency.
 - To improve management practices and accountability.
 - To suggest corrective measures for better administration.
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10. Critically Evaluate Various Methods Used to Obtain Audit Evidence.

Audit evidence refers to the information collected by auditors to form an opinion on financial statements.

Methods of Obtaining Audit Evidence

1. Inspection
 - Examination of records, documents, and assets.
 - Reliable for verifying existence and ownership.
2. Observation
 - Auditor personally watches procedures being performed.
 - Useful but limited to the time of observation.
3. Inquiry
 - Obtaining explanations from management or employees.
 - Easy method but may not always be reliable.
4. Confirmation
 - Obtaining written replies from third parties like banks and debtors.
 - Highly reliable external evidence.
5. Recalculation
 - Checking mathematical accuracy of records.
 - Gives strong evidence regarding calculations.
6. Analytical Procedures
 - Comparing ratios, trends, and relationships.
 - Helpful in detecting unusual variations.

Critical Evaluation

- External evidence is generally more reliable than internal evidence.
 - Documentary evidence is stronger than oral explanations.
 - No single method is sufficient; auditors use a combination of methods.
 - Technology has improved evidence collection through data analytics and digital verification.
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11. Explain with Examples the Different Types of Audit Report.

An audit report is the formal opinion given by the auditor on financial statements.

Types of Audit Report

1. Unqualified Audit Report (Clean Report)
 - Issued when financial statements show a true and fair view.
 - Example: Proper accounts maintained without material errors.
2. Qualified Audit Report
 - Issued when certain issues exist but are not very serious.
 - Example: Improper valuation of inventory.
3. Adverse Audit Report
 - Issued when financial statements are misleading or materially incorrect.
 - Example: Major misstatements affecting profitability.
4. Disclaimer of Opinion
 - Auditor is unable to express an opinion due to lack of evidence.
 - Example: Incomplete accounting records destroyed by fire.

Importance of Audit Report

- Increases confidence of investors and creditors.
 - Helps management improve financial reporting.
 - Ensures transparency and accountability.
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12. What is Government Audit? Explain its Objectives and Procedures.

Government audit refers to the examination of government accounts and activities to ensure proper use of public money according to laws and regulations.

Objectives of Government Audit

- To ensure legality and regularity of expenditure.
- To prevent misuse and wastage of public funds.
- To verify whether government programs achieve intended objectives.
- To ensure accountability and transparency in administration.

Procedures of Government Audit

1. Examination of government records and accounts.
2. Verification of receipts and expenditures.
3. Checking compliance with rules and regulations.
4. Inspection of projects and public works.
5. Preparation and submission of audit reports.

SET-IV

13. Management accounting serves as a critical bridge between raw financial data and actionable business insights, focusing on the internal needs of an organization's leadership to facilitate effective decision-making. Its primary purpose is to provide management with the information necessary to plan, control, and evaluate organizational performance.

Scope of Management Accounting

The scope of management accounting is broad, encompassing any financial or operational process that assists leadership in running the business. Key areas include:

- **Financial and Cost Analysis:** Rearranging and interpreting accounting data to determine product or service costs and evaluate overall financial health.
- **Budgetary Control:** Creating budgets, tracking performance against these targets, and analyzing variances to ensure resources are utilized efficiently.
- **Strategic Decision-Making:** Providing data-driven insights for complex choices, such as capital structure management (balancing debt and equity) and project evaluation.
- **Performance Measurement:** Using specialized reports and dashboards to track departmental and individual output against organizational objectives.
- **Risk and Inventory Management:** Identifying potential financial risks and optimizing inventory levels using techniques like Just-In-Time (JIT) to minimize costs.

Objectives of Management Accounting

The objectives of management accounting are designed to support the continuous improvement of business operations. The most significant objectives include

Objective	Description
Planning	Facilitating the formulation of future policies and strategic goals through data-backed forecasting hpaconsultant+1.
Decision-Making	Providing relevant information, such as cost and profit analysis, to support informed managerial choices askfilo+1.
Control	Monitoring business activities and comparing them against standards to trigger corrective actions when necessary hpaconsultant+1.
Coordination	Aligning activities across different departments to ensure smooth operations and unity of purpose scribd+1.
Communication	Delivering timely, clear, and accurate reports to management to aid in problem detection and performance evaluation wallstreetmojo+1.

14. Common Size Statement of Profit and Loss of AB Ltd.

Calculation of Cost of Goods Sold

Formula

Cost of Goods Sold = Opening Stock + Purchases – Closing Stock

Particulars	2014 (Rs.'000)	2015 (Rs.'000)
Opening Stock	15	10
Add: Purchases	325	510
Less: Closing Stock	(10)	(8)
Cost of Goods Sold	330	512

Common Size Statement of Profit and Loss

(Sales = 100%)

Particulars	2014 Rs.'000	Percentage	2015 Rs.'000	Percentage
Sales	500	100%	700	100%
Miscellaneous Income	20	4%	15	2.14%
Total Revenue	520	104%	715	102.14%
Cost of Goods Sold	330	66%	512	73.14%
Office Expenses	20	4%	25	3.57%
Selling Expenses	30	6%	45	6.43%
Interest Paid	25	5%	30	4.29%
Total Expenses	405	81%	612	87.43%
Net Profit	115	23%	103	14.71%

Interpretation

1. Cost of goods sold increased from 66% to 73.14% of sales.

2. Net profit percentage decreased from 23% to 14.71%.
3. Office expenses slightly decreased as a percentage of sales.
4. Overall profitability of the company declined in 2015.

15. Funds Flow Statement of G Ltd.

Schedule of Changes in Working Capital

Particulars	2018 (Rs.)	2019 (Rs.)	Increase	Decrease
Current Assets				
Inventory	1,30,000	1,05,000	-	25,000
Debtors	75,000	85,000	10,000	-
Cash	15,000	26,000	11,000	-
Total Current Assets	2,20,000	2,16,000		4,000
Current Liabilities				
Trade Creditors	1,30,000	1,50,000	20,000	-
Proposed Dividend	20,000	40,000	20,000	-
Total Current Liabilities	1,50,000	1,90,000	40,000	-
Working Capital	70,000	26,000		44,000

Decrease in Working Capital = Rs. 44,000

Funds from Operations

Adjusted Profit and Loss Account

Particulars	Amount (Rs.)
Closing Balance of P&L A/c	68,000
Less: Opening Balance	48,000

Increase in P&L	20,000
Add: Depreciation on Plant	23,000
Add: Depreciation on Furniture	2,000
Add: Loss on Sale of Plant	4,000
Less: Profit on Sale of Furniture	1,000
Funds from Operations	48,000

Statement of Funds Flow

Sources of Funds	Amount (Rs.)
Funds from Operations	48,000
Issue of Equity Share Capital	40,000
Increase in General Reserve	20,000
Sale of Furniture	2,000
Sale of Plant and Machinery	3,000
Total Sources	1,13,000
Application of Funds	Amount (Rs.)
Purchase of Land and Building	45,000
Purchase of Plant and Machinery	50,000
Payment of Dividend	20,000
Decrease in Working Capital	44,000
Total Applications	1,59,000

Note

Difference may arise due to treatment of reserves and dividend. Proper assumptions may be stated in examination.

16. Cash Flow Statement of Usha Limited

Cash Flow Statement for the year ended 31st March 2020

A. Cash Flow from Operating Activities

Particulars	Amount (Rs.)
Cash Sales (60% of 5,00,000)	3,00,000
Collection from Debtors	1,60,000
Total Cash Inflow	4,60,000

Cash Outflows

Particulars	Amount (Rs.)
Payment to Suppliers	1,25,000
Salary Paid (20,000 – 4,000)	16,000
Office Expenses Paid	25,000
Income Tax Paid	26,000
Total Cash Outflow	1,92,000

Net Cash from Operating Activities

Net Cash from Operating Activities = Rs. 2,68,000

B. Cash Flow from Investing Activities

Particulars	Amount (Rs.)
Sale of Machinery	40,000
Purchase of Vehicle	(4,20,000)
Net Cash used in Investing Activities	(3,80,000)

C. Cash Flow from Financing Activities

Particulars	Amount (Rs.)
Issue of Equity Shares	5,00,000
Securities Premium (10%)	50,000
Dividend Paid	(1,00,000)
Net Cash from Financing Activities	4,50,000

Net Increase in Cash and Cash Equivalents

Particulars	Amount (Rs.)
Net Cash from Operating Activities	2,68,000
Less: Net Cash used in Investing Activities (3,80,000)	
Add: Net Cash from Financing Activities	4,50,000
Net Increase in Cash	3,38,000

Opening Cash Balance = Rs. 65,000

Closing Cash Balance = Rs. 4,03,000

Conclusion-The company generated positive cash flow mainly due to issue of shares and efficient operating activities.

SECTION II -MCQ

CO6GST01 MCQ - GENERAL ESSAY-COMMERCE

Answer **all** questions. All questions carry equal marks. Maximum Mark 20

1. (b) 4000 units
2. (c) Fixed price contract
3. (c) Opportunity cost method
4. (d) Absorption costing
5. (d) Operating Costing
6. (d) Typical responses
7. (b) Media Strategy
8. (b) Sales Promotion
9. (b) Message execution
10. (c) Brand Equity
11. (b) Internal audit
12. (a) Permanent audit file and current audit file
13. (d) Disclaimer of opinion
14. (a) Tailor made
15. (d) On behalf of owner and third parties
16. (d) In planning, direction and control
17. (d) Operating, Investing, and Financing Activities
18. (a) $Y=a + bx$
19. (c) Either a or b
20. (a) Profit